led to problems with competitiveness. Wages in China remain far below those in these two countries, but in the coastal regions and in higher skilled sectors, this differential is closing.

Financial imbalances are also multiplying. A significant portion of banks are operating in the shadows, carrying risky debts which underwrite middle-class consumption. Likewise, local governments' shady operations are financed with clandestine loans. At the same time, a visible real estate bubble is expanding in the biggest cities. Inflation, which has oscillated around 2% over the last decade, has grown to 6.2%. Together with a jump in the number of millionaires (from 3 to 197 over the last ten years), a scourge of precarious jobs performed by immigrants in the cities has taken root. However, the main current imbalance stems from the sky-high rate of investment, which has remained at unsustainable levels (43.8% of GDP in 2007 and 48.3% in 2011), especially given the current conjuncture of a decelerating international economy. These levels generate a tremendous scale of over-accumulation of capital and an over-production of goods.

An economy cannot grow at 10% while consumption is only growing at 2–3%. All the Keynesian plans of recent years have only aggravated the problem, which cannot be resolved by simply increasing imports (Zhu and Kotz 2011). Chinese levels of investment are all out of proportion with any historical or international patterns. They are a consequence of an export model which requires an unsustainable use of primary materials as well as terrible ecological devastation. Once economic planning was replaced with market competition, it has not been easy to moderate this type of over-investment. The clamour for profit will impede any process seeking to reduce this excess in an orderly manner.

Internal and external conflicts

China's economic contradictions are accentuated by a conflict that sets the group of coastal leaders (associated with foreign capital) against elites in the interior of the country (who are interested in developing state capitalism). The first sector seeks to reinforce the country's integration into global capital circuits with greater external trade commitments, new acquisitions of European and US assets, and an eventual share in the design of a future global currency. On the contrary, the second sector proposes a more radical turn towards the internal market, questions excessive increases in foreign investment, and objects to big bailouts for foreign currencies and banks.

The clash between these two fractions has led to important changes in the highest echelons of the Communist Party of China (CCP), consequently strengthening the neoliberal group, which is highly concentrated in the